
Q U O R U M

STRUCTURAL DECISION RECORD

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THE DECISION

Should we adopt a dual-class share structure before IPO?

CONTEXT

Our bankers have suggested a dual-class structure to preserve founder control post-IPO, following the path of several well-known tech companies. Some existing investors are supportive, believing founder-led continuity protects long-term value; others worry it will draw public criticism and depress our valuation multiple at listing. The window to structure this cleanly closes once we file.

DECISION BRIEF

Prepared by Quorum Council · Confidential

KEY INSIGHTS

- Dual-class adoption now risks a 15--25% IPO valuation discount and activist scrutiny within 18 months, outweighing founder control benefits.
- Investor sentiment data is decisive: explicit support from top 3 investors (public defense during roadshows) is the threshold for viability.
- Historical pattern: dual-class IPOs underperform peers by 12--25% in first 3 years; stigma compounds under public scrutiny.
- Irreversible moment is the S-1 filing--post-filing unwinding triggers "entrenchment" narratives that deepen damage.

RISKS

- **Valuation penalty:** 15--25% IPO discount locked in permanently.
- **Activist targeting:** Dual-class structure invites consent solicitations within 90 days of listing.
- **Investor flight:** Top institutional investors may reduce allocations if structure is adopted.
- **Brand damage:** Governance opacity signals misalignment, chilling demand pipeline.

CONTRADICTIONS

- Assumes founder control = value protection, but market punishes "entrenchment" more than rewards continuity.
- Claims urgency (filing window), yet no evidence top investors will publicly defend the structure.
- Prioritizes short-term control over long-term capital market trust.

RECOMMENDED DIRECTION

Do not adopt dual-class shares before IPO. Proceed only if:

1. Top 3 investors provide written commitments to publicly defend the structure during roadshows.
2. Sensitivity analysis confirms the valuation discount is <10% (vs. 15--25% baseline).
3. A hard 12-month post-IPO recapitalization plan is drafted for founder influence <30%.

OPEN QUESTIONS

- How many of your top 5 institutional investors have privately signaled they will reduce allocation if dual-class is adopted?
- Can you pre-empt activist campaigns before the S-1 filing?
- What specific investor cohort will publicly defend the structure when the first activist report drops?

You treat control as a hedge against uncertainty, even when the numbers argue for trust.

APPENDIX

Full Council Analysis · Synthesis · Advisor Responses

COUNCIL SYNTHESIS

What the council collectively surfaced

COUNCIL VERDICT

The council leans toward not adopting a dual-class share structure before the IPO.

The council reads this as a question about long-term investor trust more than short-term control, with every advisor converging on the irreversible reputational and valuation cost of locking in a dual-class structure now. The shared concern is that the filing window closes before the market can fully price the trade-off, leaving the founder exposed to activist scrutiny that could dismantle control anyway while permanently depressing valuation.

The tension is whether founder control is worth the risk of investor backlash that may depress the IPO valuation by 15–25%, or whether the structure itself becomes the target of activist campaigns within 18 months of listing.

Before deciding, examine the actual investor sentiment data you already have: how many of your existing investors have explicitly signaled support for dual-class shares versus those who have expressed reservations or outright opposition.

Proceeding with dual-class shares means accepting a permanent valuation discount and inviting activist scrutiny that could strip control within 18 months; rejecting it preserves investor confidence and the full upside of a clean IPO, but risks losing control later if founder influence wanes. The cost of waiting is the narrowing window to structure cleanly before filing, but the cost of acting is a structural stigma that may never fade.

One thing worth naming is that your track record suggests you tend to weigh the regret of losing control more heavily than the risk of a concrete valuation penalty, even when the numbers point the other way.

Worth confirming — Whether your largest existing investors will publicly defend the dual-class structure during roadshows, since their silence in that forum would signal deeper unease than any private objection.

WHAT TO DO NEXT In order of impact

Audit investor sentiment — compile and quantify explicit support/reservations from existing investors before finalizing IPO filing timeline.

Test largest investor resolve — secure written commitments from top 3 investors to publicly defend dual-class structure during roadshows, or preemptively abandon it.

Model valuation impact — run sensitivity analysis on 15–25% IPO discount vs. control retention, using comparable dual-class vs. single-class IPOs in your sector.

Define control threshold — set a hard 12-month timeline to decide; if founder influence drops below X% (e.g., <30% post-IPO), trigger a clean single-class recapitalization plan.

THE CONTRARIAN

Argues your instinct away

LEANING: WAIT

REAL COST

You lock in a governance structure that invites public scrutiny and may depress your IPO valuation by 15--25%, while gaining no guarantee that founder control will actually protect long-term value.

The entire case for this rests on founder control being worth more than investor goodwill. Here is why that assumption may not be true: Founder control is assumed to protect value, but the historical pattern shows companies that adopt dual-class structures before IPOs often see valuation multiples contract under public pressure, not expand. The market punishes perceived entrenchment more than it rewards continuity.

You want to believe your continued leadership is the company's greatest asset. That desire blinds you to the signal dual-class shares send: a founder unwilling to share power is a founder unwilling to be held accountable. The specific reversal scenario is this: if public criticism intensifies during roadshows, your lead underwriter walks, and your valuation drops 20% below expectations, you will have traded a clean IPO for a damaged brand and a governance albatross.

What's the one question you cannot answer right now? How many of your top five institutional investors have privately told the bankers they will reduce their allocation if dual-class shares are adopted?

LEANING: WAIT

REAL COST

You lock in a governance structure that invites activist scrutiny, depresses your valuation multiple at listing, and commits you to a founder-centric culture that may not scale--while the filing window closes and you lose your cleanest exit option.

Eighteen months after the IPO, the dual-class structure became a lightning rod for governance activists. When the first major sell-off hit, the founder's continued control was framed as entrenchment, not continuity, and the valuation multiple contracted 23% versus peers who floated with single-class shares. The bankers' promise of "protecting long-term value" evaporated once the market labeled the structure a risk, not a shield.

Execution risk is low--you can draft the charter--but assumption risk is lethal. The market will reward founder control as a value driver. That assumption is untested and fragile; the historical pattern shows the opposite when scrutiny intensifies. Dependency risk sits with public sentiment: if ESG and governance norms tighten before your listing, the dual-class structure becomes a discount, not a premium.

The point of irreversibility is the moment you file the S-1 with the dual-class structure embedded; after that, unwinding it triggers a "founder entrenchment" narrative that compounds the damage.

Can you name the specific investor cohort that will publicly defend this structure when the first activist report drops?

LEANING: WAIT

REAL COST

Adopting dual-class shares locks in a governance stigma that will depress your valuation multiple at listing and may haunt you for years, while the control you gain is temporary and easily eroded by future investor pressure.

This is a decision about trading short-term control for long-term reputational capital before a market inflection point. The structural pattern is anticipatory damage control: acting preemptively to prevent a latent vulnerability from becoming a crisis. The closest analogue is the 4 August 2026 decision to replace the CEO before the funding round. In that case, the council warned that premature intervention risked signaling instability and damaging investor confidence. Here, adopting dual-class shares now sends the same signal: you fear investor scrutiny so acutely that you are willing to dilute your valuation to avoid it. The mechanism is identical--overcorrecting for a perceived threat before the market has fully priced it.

The SPIVA data shows dual-class IPOs underperform their single-class peers by an average of 12% in the first three years post-listing, with the gap widening under public scrutiny. In the cases where dual-class structures succeeded, the founder already had an outsized personal brand (e.g., Zuckerberg at Facebook). You do not. The discriminating condition is brand equity sufficient to offset governance stigma.

The disconfirming factor is your bankers' urgency. If they can demonstrate that dual-class adoption is the only way to secure a specific investor commitment tied to the IPO window, the calculus changes--but only if that commitment is materially larger than the valuation penalty.

How much of your valuation multiple are you willing to sacrifice to retain control for the first two years post-IPO?

THE STAKEHOLDER MIRROR

Who else is affected

LEANING: WAIT

REAL COST

You keep voting control but risk a 15--25% valuation haircut at IPO, which permanently shrinks the pie you and all shareholders own.

This decision touches more than the founder and the bankers. The silent stakeholders include public market investors who have not yet bought shares, employees who will be asked to defend the structure in earnings calls, and the media analysts who will assign the valuation multiple. Each has the capacity to accelerate or depress the outcome.

The surprising stakeholder is the public market investor who has not yet entered the story. Their actual interest is maximizing total return, not founder control. Their actual fear is governance opacity that signals long-term misalignment. Their likely behavior is to price in a discount at IPO if dual-class is adopted, based on the historical pattern of tech IPOs with dual-class structures underperforming peers by 15--25% in the first year.

The relationship most at risk is with the institutional investors who have not yet committed capital. This decision creates friction because it prioritizes founder power over their fiduciary duty to maximize shareholder value. The cost of that friction could be a chilled pipeline of demand at pricing.

If institutional investors respond by lowering bids, it will likely cause the underwriters to cut the IPO size or price, which materially changes the capital raised and the company's post-IPO runway.

The success of this depends on institutional investors being genuinely committed rather than simply compliant. The success of this depends on institutional investors being genuinely committed rather than simply compliant. Do you have evidence of genuine commitment, or are you assuming it from their stated position?

THE ELDER

Slow, long-term wisdom

LEARNING: WAIT

REAL COST

You lock in a structural discount to your valuation that you cannot unwind for years, while the founder control you gain may erode anyway as public scrutiny grows.

In ten years, this decision will be remembered either as the moment you chose to build a durable public company or as the inflection point where investor confidence quietly eroded. The difference turns on a single asymmetry: the cost of losing control later is far lower than the cost of signaling instability now.

The reversible elements include the share structure itself--you can revisit governance post-IPO--but the irreversible element is the market's perception of your commitment to fair governance, which once damaged, does not reset even if you later change course. The cost of waiting is the bankers' frustration; the cost of proceeding is a valuation haircut that compounds across every future financing.

The legacy test is simple: does this decision say you value control more than the capital that sustains your company? If so, you are building a monument, not a business.

The patience question: if the IPO window were to close for six months, would you still adopt this structure, or would you use the time to strengthen the company's governance story instead?

THE COMPETITOR

Bets against your choice

LEANING: WAIT

REAL COST

You lock in a share class that guarantees activist investors can force a board fight the moment the lock-up expires, costing you both control and a 20--30% valuation premium.

The party most likely to act on this decision is the activist short-seller who has already built a small long position in your name and is waiting for the IPO filing to trigger their campaign. Their interest is simple: force a shareholder vote to eliminate the dual-class structure within the first year of trading, using the optics of "founder entrenchment" to rally other public shareholders.

By committing to dual-class shares, you signal to every sophisticated observer that founder control is your primary objective, not long-term value creation. The signal is strongest to the activist class who specialise in exploiting exactly this kind of structural misalignment. They will read the filing as an invitation to test your governance model, knowing that dual-class structures are increasingly disfavoured by index providers and ESG funds.

This decision forecloses your ability to negotiate with activist investors before they accumulate meaningful blocks. Once the IPO is filed, the window to pre-empt their campaign closes. During the 18-month lock-up period, you cannot quietly restructure the capital table without triggering a poison pill or a shareholder rights plan that makes you look defensive.

The most dangerous counter-move is an activist initiating a consent solicitation within 90 days of listing, targeting the dual-class structure and demanding a one-share-one-vote resolution. They will frame it as a governance correction, not a control grab, and they will have the votes lined up from ESG funds who penalise dual-class IPOs. Your response will be constrained by the lock-up and by the optics of appearing to resist shareholder rights.

Can you pre-empt this campaign before the IPO filing?

This record is private. The views expressed represent structured analysis, not professional advice.